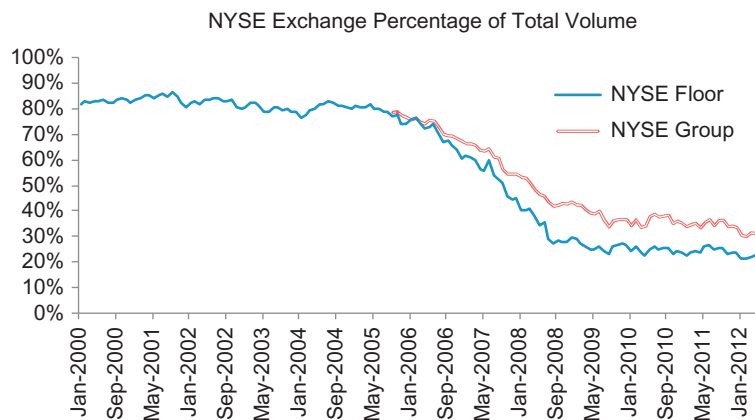


(partly due to Reg NMS in 2007) through 2008/2009. Currently, the NYSE group accounts for only 33% and the traditional NYSE floor exchange accounts for 20%–23% of total volume in NYSE listed stocks. The NYSE group includes trades in the NYSE, American Express (AMEX), and Archipelago Exchange (ARCA). This is illustrated in [Figure 1.2](#).

Empirical evidence from the NYSE confirms that decimalization made trading more difficult by increasing the total number of transactions required to fill an order. Average trade size on the NYSE has decreased 82% since 2000 when the average trade size was 1222 shares compared to only 222 shares in 2012. Investors with large positions now require more than five times the number of trades to complete the order than was required prior to decimalization. This does not even include the increase in quote revisions and cancellations for price discovery purposes (and fishing expeditions). [Figure 1.3](#) shows the rapid decrease in trade size over the period 2000 through about 2005, with the decline continuing more gradually until about 2009. Since 2009, the average trade size has been just over 200 shares per trade. [Figure 1.4](#) shows the decline in average trade size for the NYSE group. The difference in this analysis is that in 2004 the NYSE combined with AMEX and ARCA started to include crossing session volumes, auctions, etc., into its reported volume statistics. As a result, higher volume values were reported on the NYSE group reports than to the consolidated public tape, and average trade sizes were much larger than the median or the average trade sizes excluding auctions and crossing session volume. Even under this new definition we can see that the average trade sizes (computed by dividing the NYSE group reported volume by the total number of reported trades) dramatically declined. These average sizes



■ **Figure 1.2** NYSE Exchange Percentage of Total Volume.